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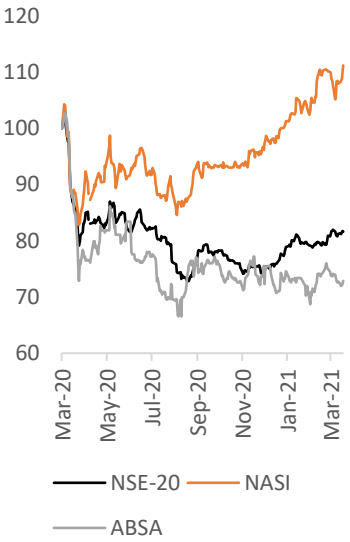
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Absa Group FY20 Earnings Note

Absa Group's FY20 net earnings plunged 44.2% y/y to KES 4.2B in line with expectation of a drop in earnings due to effects of the prevailing pandemic. The drop was driven by a KES 2.2B transition cost, a 114.9% y/y surge in loan loss provisions to KES 9.0B and a flat growth in net interest income. The bottom line was however buoyed by a 3.7% y/y decline in total operating expenses to KES 16.6B and a 5.2% y/y increase in non-interest income to KES 11.1B. To the dismay of investors, the strenuous effects of the pandemic on the business warranted the board of directors not to recommend a dividend payment for FY20.

DATE:	**24th March 2021**
Target Price:	**KES 12.99**
Current Price:	**KES 9.44**
Upside:	**37.6%**
52 Week Low:	**KES 8.50**
52 Week High:	**KES 13.85**

ABSA VS INDICES



Source: AIB-AXYS Research

Flat growth in top-line

In line with our expectations of a single digit growth, loans and advances grew 7.2% y/y to KES 208.9B while investment in government securities was up 2.5% y/y to KES 126.1B. This saw interest income remain flat (+1.3% y/y to KES 31.4B) due to a 1.1% y/y decline in income from loans and advances in line with a 120bps y/y decline in yield on loans to 10.2%. Interest income was however boosted by a 10.7% y/y incline interest income from government securities.

Improved efficiency buoys bottom line

Lagging a 6.7% y/y growth in customer deposits to KES 253.6B, the groups' interest expense marginally grew 2.7% y/y to KES 8.1B improving cost of funds (-40bps y/y to 2.5%). Prudent cost management saw a 3.7% decline in operating expenses to KES 16.6B on the back of a decline in staff costs.

COVID sees provisions grow

A general slowdown in business activity occasioned by the prevailing pandemic saw a rise in the risk profile of customers. In line with market expectations, gross NPLs grew 26.5% to KES 17.1B which saw a 114.9% y/y rise in loan loss provisions to KES 9.0B. This saw cost of risk jump 210bps y/y to 4.3%.

Outlook

The Group's FY20 performance was below our expectation with a higher drop in earnings than anticipated. The transition costs and surge in provisions however are in line with expectations. Given the bank's high exposure to the retail sector and unsecured loans, we remain concerned that despite the expected recovery in the economic environment, we may see provisions remain high. We laud the banks improving efficiency that has kept costs at bay while shielding bottom line growth. We may see a decline in the current share price of KES 8.44 given the break in dividend payment.

Analyst

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Financial Statements

Income Statement	FY19 KES M	FY20 KES M	chg y/y %
Interest Income	31,024	31,440	1.3%
Interest Expense	7,845	8,059	2.7%
Net Interest Income	23,179	23,381	0.9%
Non Interest Income	10,588	11,140	5.2%
Total Operating Income	33,767	34,522	2.2%
Total Operating Expenses	17,285	16,647	-3.7%
Loan Loss Provision Expense	4,201	9,027	114.9%
Operating Profit	16,482	17,875	8.5%
Profit Before Tax	10,752	5,646	-47.5%
Current Tax	3,296	1,484	-55.0%
Profit After Tax	7,456	4,162	-44.2%
EPS (KES)	1.37	0.77	-44.2%
DPS (KES)	1.10	0.00	-100.0%

Balance Sheet			
Total Shareholders' Equity	45,189	46,504	2.9%
Customer Deposits	237,739	253,630	6.7%
Total Liabilities	328,792	332,937	1.3%
Government and Other Securities	122,996	126,057	2.5%
Net Loans and advances	194,895	208,855	7.2%
Total Assets	373,982	379,441	1.5%

Key Ratios			
Gross NPL (KES M)	13,519	17,099	26.5%
Gross NPL Ratio	6.9%	8.2%	
Cost of Risk	2.2%	4.3%	
Loan to Deposits	82.0%	82.3%	
Yield on loans	11.4%	10.2%	
Cost of Funds	2.9%	2.5%	
NIM	8.4%	7.8%	
Non Funded/Total Income	31.4%	32.3%	
Cost to Income Ratio	51.2%	48.2%	
ROE	16.5%	8.9%	
ROA	2.0%	1.1%	
Core Capital/TRWA	14.3%	14.8%	
Total Capital/TRWA	17.0%	17.6%	
Liquidity Ratio	39.8%	38.7%	
P/E (x)		12.3	
P/B (x)		1.1	

Source: AIB-AXYS Research, company fillings



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